

a. Cost of Owning a Car

Do remember that the money you put into buying a car is not the only cost. There are two kinds of costs:



These are costs you incur once in the process of buying a car. This includes the down payment for the car, the tax, and the registration fee. You can also make a full payment for the car, and the purchase would be considered a one-time cost.



These are the regular expenses that you have to pay time-to-time. This includes Equated Monthly Installments (EMI) if you're not paying the full amount up-front. Additionally, consider fuel expenses, car insurance premiums, and maintenance costs in your budget.

Due to the presence of recurring costs, buying a car is a commitment. Hence, we need to make a proper budget and ensure we are not overspending while buying a car.